CIMA Strategic Case Study

Mock Exam 3

Rotomyne

Unseen

Task 1 - Unseen case material

You have received the following email.

From: Martin Jacobs, Chief Finance Officer
To: Senior Finance Manager
Subject: Expansion into a new market

Hi,

I've attached minutes from a recent Board meeting about the proposed entry into the Zyloria market. As you know, the geological survey results have confirmed promising lithium deposits, but the political and regulatory situation remains unstable.

The Board has asked me to gather input on two critical issues before we proceed. I need your advice on the following matters:

- Firstly, recommend, with reasons, how the Board should structure internal controls to ensure operational efficiency and regulatory compliance with both local and international regulations.

[sub-task (a) = 30%]

- Secondly, evaluate the potential risks associated with entering Zyloria and recommend strategies to mitigate these risks.

[sub-task (b) = 35%]

- Finally, discuss the impact that fluctuations in lithium prices could have on the profitability and cash flow of entry into Zyloria.

[sub-task (c) = 35%]

Regards,
Martin

Reference material

Extract from Board meeting minutes

Martin Jacobs (CFO) opened the discussion on the potential expansion into Zyloria. He highlighted the promising geological survey results, which confirm significant lithium deposits. However, he expressed concerns about the political and regulatory environment in Zyloria, including uncertainty over mining licenses and environmental legislation. Martin also raised concerns about the potential exchange rate volatility in Zyloria, given the current political instability and economic policies.

Shaista Shameem (CEO) emphasised that Zyloria represents a key opportunity for expanding Rotomyne's production capacity. She acknowledged the risks but stated that the high demand for lithium and the strategic importance of securing new sources of supply justify the investment.

Pierre Forcier (Senior Independent Director) expressed concerns about the political stability of Zyloria. He cited recent government turnover and unpredictable policy changes that could affect the regulatory framework. He suggested that Rotomyne develop robust risk mitigation strategies, including building strong relationships with local regulators and ensuring compliance with international environmental standards.

Andrey Prokhorov (Production Director) mentioned that the environmental impact of mining operations in Zyloria would need to be carefully managed. He referenced past difficulties in gaining local community approval for mining activities in similarly unstable regions. He also warned that securing environmental permits might take longer than initially expected.

The Board concluded that while the potential rewards are significant, the risks must be closely managed. Internal controls will need to be strengthened to ensure compliance and efficiency. The Board requested a detailed risk assessment and proposals for internal control structures before moving forward with the investment.

Task 2 - Unseen case material

Martin Jacobs, Chief Finance Officer (CFO), stops by your workspace.

"I have brought an executive summary of a proposal to invest in Direct Lithium Extraction (DLE) technology. The plan is to establish the facility in Chaland, where Rotomyne already has mining operations and a strong infrastructure base. This location is ideal for leveraging our existing resources, and the regulatory environment is supportive of sustainable technologies.

Could you provide your analysis on the following matters:

- Firstly, evaluate the strategic benefits and risks of investing in the new DLE facility. Recommend with reasons whether the Board should proceed with the investment.

[sub-task (a) = 55%]

- Secondly, assess the potential impact of external factors, such as geopolitical and environmental regulations, on the success of the DLE facility. Recommend actions to address these risks."

[sub-task (b) = 45%]

Reference material

Executive summary from DLE proposal

The proposal outlines the plan to establish a Direct Lithium Extraction (DLE) facility in Chaland, where Rotomyne already operates several lithium mines and processing plants. The choice of Chaland is strategic, given its stable regulatory environment and existing infrastructure, which will allow us to leverage our current resources for this innovative project. Over the next 24 months, the investment required is estimated at P$2.1 billion. Despite the high initial costs, the DLE technology is expected to yield significant savings in the long term. By reducing energy consumption and minimising land use compared to traditional extraction methods, the project could result in annual savings of P$350 million once operational.

Chaland's regulatory framework is well-suited to environmentally sustainable projects, which aligns with the growing global demand for greener technologies. As part of this effort, the DLE facility will comply with stringent environmental regulations in the country, which could enhance Rotomyne's positioning as a leader in sustainable lithium extraction. This, in turn, may attract new clients and strengthen relationships with businesses that prioritise environmental responsibility. Rotomyne's commitment to environmental sustainability will also need to be demonstrated through this project to maintain its ESG ratings and meet investor expectations.

However, the project does carry significant risks. While the regulatory environment in Chaland is supportive, future expansions into other regions may face delays due to regulatory uncertainty. Additionally, the upfront capital investment of P$2.1 billion could strain the company's liquidity in the short term, particularly if financing options are limited. Furthermore, although DLE has shown potential in pilot projects, its large-scale implementation is not without operational risks. The technology remains largely unproven at this level of production, which could result in unforeseen challenges. While competitors have shown interest in DLE technology, no large-scale facility has yet been established in Chaland, giving Rotomyne a potential first-mover advantage if the project is successful.

Task 3 - Unseen case material

A month has passed and you receive the following email.

From: Martin Jacobs, Chief Finance Officer
To: Senior Finance Manager
Subject: Financing the DLE facility and governance concerns

Hi,

I have forwarded an email I received from the Chief Internal Auditor. Recent internal audits have uncovered governance failures not just at one site, but across several of our global operations. The Board is particularly concerned about how this might impact investor confidence, especially as we look to finance the DLE investment. The Board is requesting suggestions on how we can strengthen our governance framework to prevent further issues and reassure our shareholders.

Please provide your input on the following:

- Firstly, evaluate whether Rotomyne should finance investment in the DLE facility through debt or equity.

[sub-task (a) = 55%]

- Secondly, evaluate the governance failures identified by the recent internal audit and suggest how the Board could strengthen governance throughout the company.

[sub-task (a) = 45%]

Regards,
Martin

Reference material

Email from the Chief Internal Auditor to the CFO

From: Danika Lowell, Chief Internal Auditor
To: Martin Jacobs, Chief Finance Officer
Subject: Internal Audit

Hi Martin,

Here is a summary of the key issues we've identified in the recent internal audits across multiple operations. These observations suggest a pattern of governance weaknesses that need further attention.

1	Across several sites, there are discrepancies between the financial reports submitted by local management and the data we have in our central records, particularly concerning inventory levels and capital expenditures.
2	Some sites are approving significant capital investments locally without proper documentation or clear approval trails.
3	We've observed that certain operational decisions, such as resource allocation and staffing, are being made without adequate oversight from corporate management.
4	Some of our operations are not fully compliant with local environmental and safety regulations.
5	At a few locations, internal controls over financial data are not as robust as they should be. For example, there have been delays in reconciling accounts and errors in recording expenses.

While none of these issues are currently critical, they are early signs of governance weaknesses that could become more serious if not addressed. It's also worth noting that management practices and attitudes toward compliance vary between regions, which may influence how these issues are addressed. There is a risk that these governance issues, if not corrected, could erode investor confidence and damage Rotomyne's reputation over time.

Best,
Danika

Present value tables

Present value of U$1 i.e. $(1 + r)^{-n}$ where r = interest rate, n = number of periods until payment or receipt.

Periods (n)	Interest rates (r) 1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1	.990	.980	.971	.962	.962	.943	.935	.926	.917	.909
2	.980	.961	.943	.925	.907	.890	.873	.857	.842	.826
3	.971	.942	.915	.889	.864	.840	.816	.794	.772	.751
4	.961	.924	.888	.855	.823	.792	.763	.735	.708	.683
5	.951	.906	.863	.822	.784	.747	.713	.681	.650	.621
6	.942	.888	.837	.790	.746	.705	.666	.630	.596	.564
7	.933	.871	.813	.760	.711	.665	.623	.583	.547	.513
8	.923	.853	.789	.731	.677	.627	.582	.540	.502	.467
9	.914	.837	.766	.703	.645	.592	.544	.500	.460	.424
10	.905	.820	.744	.676	.614	.558	.508	.463	.422	.386
11	.896	.804	.722	.650	.585	.527	.475	.429	.388	.350
12	.887	.788	.701	.625	.557	.497	.444	.397	.356	.319
13	.879	.773	.681	.601	.530	.469	.415	.368	.326	.290
14	.870	.758	.661	.577	.505	.442	.388	.340	.299	.263
15	.861	.743	.642	.555	.481	.417	.362	.315	.275	.239
16	.853	.728	.623	.534	.458	.394	.339	.292	.252	.218
17	.844	.714	.605	.513	.436	.371	.317	.270	.231	.198
18	.836	.700	.587	.494	.416	.350	.296	.250	.212	.180
19	.828	.686	.570	.475	.396	.331	.277	.232	.194	.164
20	.820	.673	.554	.456	.377	.312	.258	.215	.178	.149

Periods (n)	Interest rates (r) 11%	12%	13%	14%	15%	16%	17%	18%	19%	20%
1	.901	.893	.885	.877	.870	.862	.855	.847	.840	.833
2	.812	.797	.783	.769	.756	.743	.731	.718	.706	.694
3	.731	.712	.693	.675	.658	.641	.624	.609	.593	.579
4	.659	.636	.613	.592	.572	.552	.534	.516	.499	.482
5	.593	.567	.543	.519	.497	.476	.456	.437	.419	.402
6	.535	.507	.480	.456	.432	.410	.390	.370	.352	.335
7	.482	.452	.425	.400	.376	.354	.333	.314	.296	.279
8	.434	.404	.376	.351	.327	.305	.285	.266	.249	.233
9	.391	.361	.333	.308	.284	.263	.243	.225	.209	.194
10	.352	.322	.295	.270	.247	.227	.208	.191	.176	.162
11	.317	.287	.261	.237	.215	.195	.178	.162	.148	.135
12	.286	.257	.231	.208	.187	.168	.152	.137	.124	.112
13	.258	.229	.204	.182	.163	.145	.130	.116	.104	.093
14	.232	.205	.181	.160	.141	.125	.111	.099	.088	.078
15	.209	.183	.160	.140	.123	.108	.095	.084	.074	.065
16	.188	.163	.141	.123	.107	.093	.081	.071	.062	.054
17	.170	.146	.125	.108	.093	.080	.069	.060	.052	.045
18	.153	.130	.111	.095	.081	.069	.059	.051	.044	.038
19	.138	.116	.098	.083	.070	.060	.051	.043	.037	.031
20	.124	.104	.087	.073	.061	.051	.043	.037	.031	.026

Cumulative present value tables

This table shows the Present Value of U$1 per annum, Receivable or Payable at the end of each year for n years

$$\frac{1-(1+r)^{-n}}{r}$$

Periods (n)	Interest rates (r)									
	1%	**2%**	**3%**	**4%**	**5%**	**6%**	**7%**	**8%**	**9%**	**10%**
1	0.990	0.980	0.971	0.962	0.952	0.943	0.935	0.926	0.917	0.909
2	1.970	1.942	1.913	1.886	1.859	1.833	1.808	1.783	1.759	1.736
3	2.941	2.884	2.829	2.775	2.723	2.673	2.624	2.577	2.531	2.487
4	3.902	3.808	3.717	3.630	3.546	3.465	3.387	3.312	3.240	3.170
5	4.853	4.713	4.580	4.452	4.329	4.212	4.100	3.993	3.890	3.791
6	5.795	5.601	5.417	5.242	5.076	4.917	4.767	4.623	4.486	4.355
7	6.728	6.472	6.230	6.002	5.786	5.582	5.389	5.206	5.033	4.868
8	7.652	7.325	7.020	6.733	6.463	6.210	5.971	5.747	5.535	5.335
9	8.566	8.162	7.786	7.435	7.108	6.802	6.515	6.247	5.995	5.759
10	9.471	8.983	8.530	8.111	7.722	7.360	7.024	6.710	6.418	6.145
11	10.368	9.787	9.253	8.760	8.306	7.887	7.499	7.139	6.805	8.495
12	11.255	10.575	9.954	9.385	8.863	8.384	7.943	7.536	7.161	6.814
13	12.134	11.348	10.635	9.986	9.394	8.853	8.358	7.904	7.487	7.103
14	13.004	12.106	11.296	10.563	9.899	9.295	8.745	8.244	7.786	7.367
15	13.865	12.849	11.938	11.118	10.380	9.712	9.108	8.559	8.061	7.606
16	14.718	13.578	12.561	11.652	10.838	10.106	9.447	8.851	8.313	7.824
17	15.562	14.292	13.166	12.166	11.274	10.477	9.763	9.122	8.544	8.022
18	16.398	14.992	13.754	12.659	11.690	10.828	10.059	9.372	8.756	8.201
19	17.226	15.679	14.324	13.134	12.085	11.158	10.336	9.604	8.950	8.365
20	18.046	16.351	14.878	13.590	12.462	11.470	10.594	9.818	9.129	8.514

Periods (n)	Interest rates (r)									
	11%	**12%**	**13%**	**14%**	**15%**	**16%**	**17%**	**18%**	**19%**	**20%**
1	0.901	0.893	0.885	0.877	0.870	0.862	0685	0.847	0.840	0.833
2	1.713	1.690	1.668	1.647	1.626	1.605	1.585	1.566	1.547	1.528
3	2.444	2.402	2.361	2.322	2.283	2.246	2.210	2.174	2.140	2.106
4	3.102	3.037	2.974	2.914	2.855	2.798	2.743	2.690	2.639	2.589
5	3.696	3.605	3.517	3.433	3.352	3.274	3.199	3.127	3.058	2.991
6	4.231	4.111	3.998	3.889	3.784	3.685	3.589	3.498	3.410	3.326
7	4.712	4.564	4.423	4.288	4.160	4.039	3.922	3.812	3.706	3.605
8	5.146	4.968	4.799	4.639	4.487	4.344	4.207	4.078	3.954	3.837
9	5.537	5.328	5.132	4.946	4.772	4.607	4.451	4.303	4.163	4.031
10	5.889	5.650	5.426	5.216	5.019	4.833	4.659	4.494	4.339	4.192
11	6.207	5.938	5.687	5.453	5.234	5.029	4.836	4.656	4.486	4.327
12	6.492	6.194	5.918	5.660	5.421	5.197	4.968	4.793	4.611	4.439
13	6.750	6.424	6.122	5.842	5.583	5.342	5.118	4.910	4.715	4.533
14	6.982	6.628	6.302	6.002	5.724	5.468	5.229	5.008	4.802	4.611
15	7.191	6.811	6.462	6.142	5.847	5.575	5.324	5.092	4.876	4.675
16	7.379	6.974	6.604	6.265	5.954	5.668	5.405	5.162	4.938	4.730
17	7.549	7.120	6.729	6.373	6.047	5.749	5.475	5.222	4.990	4.775
18	7.702	7.250	6.840	6.467	6.128	5.818	5.534	5.273	5.033	4.812
19	7.839	7.366	6.938	6.550	6.198	5.877	5.584	5.316	5.070	4.843
20	7.963	7.469	7.025	6.623	6.259	5.929	5.628	5.353	5.101	4.870